



30 June 2021

Circular 23 of 2021

To : Principal Officers of Life Assurance Companies
: Principal Officers of Life Insurance Companies
: Principal Officers of Short-Term Insurance Companies
: Principal Officers of Funeral Assurance Companies
: Principal Officers of Reinsurance Companies
: Chairperson- Life Offices Association (LOA)
: Chairperson- Insurance Council of Zimbabwe (ICZ)
: Chairperson- Zimbabwe Association of Funeral Assurers (ZAFA)

ZIMBABWE INTEGRATING CAPITAL AND RISK PROGRAMME (ZICARP) FRAMEWORK

1. Following the launch of the ZICARP Framework on 22 June 2021, the Commission hereby shares the supporting frameworks for adoption and implementation by all insurance and reinsurance entities.
2. All entities are required to report on both SI 95 of 2017 and ZICARP for 30 June 2021, 30 September 2021 and 31 December 2021 valuations and solvency assessments. As usual, the SI 95 results will be used for publication while ZICARP results will be used to assess the quantitative impact of the framework by the Commission.
3. The following ZICARP framework documents are shared:
 - 3.1. **Pillar I** – Quantitative pillar, which involves determination of Solvency Capital Requirement (SCR) and Minimum Capital Requirement (MCR). The

following Technical Specification (TS) Documents will be used in determining SCR and MCR by insurance entities:

- 3.1.1. TS 1: Overall Risk Based Framework;
- 3.1.2. TS 2: Valuation of Assets and Non-Technical Liabilities;
- 3.1.3. TS 3: Valuation Guidelines for Technical Provisions;
- 3.1.4. TS 4: Valuation of Eligible Own Funds;
- 3.1.5. TS 5: Minimum Capital Requirement (MCR);
- 3.1.6. TS 6: Solvency Capital Requirement (SCR):
 - 3.1.6.1. Market Risk;
 - 3.1.6.2. Life Underwriting Risk;
 - 3.1.6.3. Non-Life Underwriting Risk;
 - 3.1.6.4. Operational Risk;

3.1.7. TS 7: Ladder of Supervisory Intervention

- 4. **Pillar II** - Own Risk and Solvency Assessment (ORSA), which encompasses Circular 11 of 2016, will put together all aspects of an effective risk management framework.
- 5. **Pillar III** – Disclosure Framework to the Regulator and the Public. These include:
 - 5.1. Solvency and Financial Condition Report (SFCR).
 - 5.2. Quarterly Reporting Templates (QRT).
 - 5.3. Regular Supervisory Reports (RSR).
- 6. The Commission looks forward to receiving all three Pillar results effective second quarter 2021.
- 7. Please be guided accordingly.

Yours Sincerely,



Grace Muradzikwa

COMMISSIONER OF INSURANCE, PENSION AND PROVIDENT FUNDS